

WHAT ARE MOVING AVERAGES?

Moving averages are overlay lines that run through the price on the chart.

The basic idea of the moving average line is to collect the closing price of the respective security and give an average price. The moving average line can be of different lookback periods on different timeframes.



For example: A moving average line with a lookback period of 14 represents the average closing price of 14 recent candles. Now, if you are looking at a 5-minute timeframe chart, the lookback period of 14 will consider the closing price of the previous 14 candles.

SMA 14 close 0 SMA 5 19826.45
EMA 14 close 0 SMA 5 19826.47



Now, moving averages are of two types: Simple Moving Averages and Exponential Moving Averages. To make this a cakewalk for you, the Simple Moving Average lines are less reactive with the price movements than the Exponential Moving Averages.